Procurement Approval SOP (Engineering) v1 - Page 1

Purpose

This procedure describes how purchases are approved and ordered.

Scope

This document applies to everyone working in the Engineering division. It is owned by Jamie Smith and is effective from 2024-07-17.

Rules

Purchases up to 2,000 USD need manager approval only.

Purchases above 10,000 USD require three written quotes and finance approval.

Purchase orders must be issued before any goods or services are delivered.

Invoices are paid 60 days after the goods or services are accepted.

Procurement Approval SOP (Engineering) v1 - Page 2

Procedure

1. Create a purchase requisition in the procurement system.
2. Attach quotes if the amount is above the quote threshold.
3. Approvers review and approve the requisition in order.
4. Procurement issues the purchase order to the supplier.

Escalation

Urgent purchases without a purchase order must be reported to the finance controller.

Contacts

Send questions about this document by email to finance-help@company.local.

Document Control

Under Procurement Approval SOP (Engineering) (version 1), the standard limit is 180 days.
This is the maximum number of days between two checks of the document by its owner.

This is the first version of the document.